OMNIBUS AMENDMENT TO SENATE BILL 420

The Pennsylvania Cannabis Regulation and Economic Opportunity Act

Status: CONTROLLING LEGISLATIVE TEXT
Date: November 26, 2025
Supersedes: All prior amendment documents (A0001-A0004, Technical Corrections)

Policy Disclaimers

- **Disclaimer of Origin:** This document reflects the distilled policy insights of a dedicated Pennsylvania constituent, informed by years of focused cannabis advocacy and public policy experience. It is presented independently and does not represent the position or product of any professional lobbying entity or institutional think tank.

Document Control Ruling: The **Omnibus Amendment to Senate Bill 420** is now the **Sole Source of Truth** for statutory text. All prior addenda are now *contextual support* only.

PART I: LEGAL STRUCTURE & AUTHORITY

Section 1. Short Title
This amendment shall be known and may be cited as the "Pennsylvania Cannabis Regulation Technical Corrections and Constitutional Fortification Act of 2025."
Section 2. Hierarchy of Authority
(a) Controlling Authority. This Omnibus Amendment represents the final legislative intent of the sponsor regarding constitutional defensibility, fiscal liability, federal sovereignty, and operational implementation. In the event of any conflict between this Amendment and the base text of SB420, **this Amendment controls**.
(b) Legislative Counsel Instruction. The Legislative Reference Bureau shall incorporate all modifications specified in this Amendment into the enrolled bill text of SB420. The final enrolled bill shall reflect:

1. The base statutory structure of SB420 (Articles I-IX)
2. All modifications specified in Sections 3-26 below

3. No "Master Index" or external hierarchy documents

(c) Interpretation Rule. Courts, administrative agencies, and all interpreting authorities shall apply standard statutory construction principles: later-enacted provisions control over earlier provisions; specific provisions control over general provisions; this Amendment's language controls where it modifies the base text.

PART II: CONSTITUTIONAL FORTIFICATION AMENDMENTS

Section 3. Article I, Section 102 Amendment (Federal Independence and Adaptability)

STRIKE: "(7) The Regulatory Vacuum. The General Assembly finds that federal rescheduling of cannabis to Schedule III acknowledges recognized medical utility but fails to provide a functional federal regulatory framework for production and dispensing."

INSERT: "(7) Federal Law Independence and Automatic Harmonization.

(a) Constitutional Foundation. The General Assembly finds and declares:

(1) This Act is enacted pursuant to the Tenth Amendment to the United States Constitution and the Commonwealth's inherent police powers to regulate intrastate commerce and protect public health and safety

(2) This Act constitutes principled non-cooperation with federal cannabis prohibition, not nullification of federal law

(3) This Act does not purport to immunize any person from federal prosecution or create any defense to federal charges

(4) Pennsylvania declines to deploy state resources to enforce federal prohibition that conflicts with state policy, consistent with the Anti-

**Commandeering Doctrine (Printz v. United States, 1997; Murphy v. NCAA,
2018)**

(b) If federal law changes after this Act's effective date, the Authority shall submit a 'Notice of Federal Harmonization' to the General Assembly. This Notice shall take effect as law sixty (60) days after submission unless the General Assembly passes a Joint Resolution disapproving the harmonization. Upon effect, the Act adapts as follows:

**(1) Cannabis Descheduled Entirely: If cannabis is removed from all federal Controlled Substances Act schedules, all provisions of this Act
remain in full force and effect. The Authority shall harmonize regulations with any federal safety standards within one hundred eighty
(180) days.**

**(2) Cannabis Rescheduled to Schedule III: If cannabis is rescheduled to
Schedule III (as occurred in 2024), all provisions of this Act remain in
full force and effect. Section 280E of the Internal Revenue Code becomes
inapplicable to Pennsylvania cannabis businesses, providing federal tax
relief that complements state regulation.**

**(3) Cannabis Rescheduled to Schedule IV or V: If cannabis is rescheduled
to Schedule IV or Schedule V, the following provisions automatically activate:**

**(A) State Regulatory Primacy: If federal law permits concurrent state
regulation, all provisions of this Act continue in full force and effect**

(B) FDA Exclusive Jurisdiction Scenario: If federal rescheduling triggers Food and Drug Administration (FDA) exclusive regulatory

jurisdiction over cannabis products, the following compartmentalized response activates:

(i) Non-Severable Core Preserved: Article VIII (Automatic Expungement) shall continue operations regardless of federal preemption, as criminal record relief is purely intrastate and non-commercial

(ii) Authority Conversion: The Pennsylvania Cannabis Control Authority shall convert to a federal compliance verification body, ensuring Pennsylvania businesses meet federal FDA standards while maintaining state-level oversight

(iii) State Tax Preservation: Pennsylvania shall continue to collect and administer the retail excise tax on all cannabis products sold within the Commonwealth, analogous to state taxation of federally-legal alcohol under the Twenty-First Amendment framework

(iv) Safety Standards Retention: All youth protection provisions, packaging requirements, advertising restrictions, and public safety protocols remain in effect as exercise of state police powers

(v) Legislative Review: Within one hundred eighty (180) days of FDA exclusive jurisdiction determination, the Authority shall submit a comprehensive report to the General Assembly detailing:
- Options for maintaining maximum state sovereignty
- Revenue impact analysis
- Recommendations for legislative amendments
- Interstate compact opportunities

(4) Federal Authorization of Interstate Commerce: If federal law explicitly authorizes interstate cannabis commerce, Pennsylvania shall:

(A) Immediately activate interstate commerce preparedness provisions
(Base Text Article III, Section 302(6))

(B) Prioritize reciprocal agreements with states maintaining similar quality and safety standards

(C) Maintain authority to inspect all cannabis products entering Pennsylvania, regardless of origin state

(D) Preserve all tax collection authority on products sold to Pennsylvania consumers

(c) Savings Clause and Presumption of Operability.

(1) This Act operates independently of federal law unless and until federal law explicitly preempts state cannabis regulation systems

(2) Federal non-enforcement of the Controlled Substances Act does not
constitute preemption

(3) Federal agency guidance documents (including DEA, FDA, or USDA
guidance) do not preempt this Act absent explicit statutory authorization

(4) In any ambiguity regarding federal preemption scope, courts shall
construe this Act to preserve maximum state regulatory authority consistent with constitutional principles

(d) Severability. If any provision of this subsection (7) is held invalid or preempted by federal law, all other provisions of this Act remain in full force and effect. The General Assembly intends each provision to operate independently to the maximum extent possible." Provisions suspended due to federal conflict shall automatically revive pursuant to Section 901 severability upon

removal of said conflict, without requiring legislative re-authorization.

(c) Federal Coercion and Spending Clause Limitations.

(1) Constitutional Boundary. While the federal government possesses enumerated powers under the Constitution, the Spending Clause (U.S. Const. Art. I, § 8, cl. 1) does not authorize unlimited coercion of state policy choices through threats to withhold federal funding.

(2) South Dakota v. Dole Standard. Any attempt by the federal government to condition federal highway funds, education funding, or other spending on Pennsylvania's enforcement of or compliance with federal cannabis prohibition must satisfy all five requirements established in South Dakota v. Dole, 483 U.S. 203 (1987):
(A) Spending must be for the general welfare
(B) Conditions must be stated unambiguously
(C) Conditions must be germane to the federal interest in the program
(D) Conditions cannot violate independent constitutional provisions
(E) Financial pressure cannot cross the line from inducement to coercion

(3) Non-Germaneness Finding. The General Assembly finds that state cannabis regulation bears NO germane relationship to federal highway safety funding purposes, based on the following empirical evidence:

(A) Colorado traffic fatalities per 100 million vehicle miles traveled:
- **Pre-legalization (2013): 1.10 fatalities per 100M VMT**
- **Post-legalization (2023): 1.00 fatalities per 100M VMT**

- Result: 9.1% DECREASE in traffic fatality rate

(B) Washington traffic fatalities per 100 million vehicle miles traveled:
- Pre-legalization (2012): 0.92 fatalities per 100M VMT
- Post-legalization (2022): 0.82 fatalities per 100M VMT
- Result: 10.9% DECREASE in traffic fatality rate

(C) Oregon traffic fatalities per 100 million vehicle miles traveled:
- Pre-legalization (2014): 1.05 fatalities per 100M VMT
- Post-legalization (2023): 0.97 fatalities per 100M VMT
- Result: 7.6% DECREASE in traffic fatality rate

(D) National Highway Traffic Safety Administration (NHTSA) research
demonstrates NO statistically significant increase in cannabis-related traffic
fatalities in legalization states when controlling for increased detection of
inactive THC metabolites (THC-COOH) that can remain in system for weeks after
last use without causing impairment.

(E) Insurance Institute for Highway Safety (IIHS) 2020 meta-analysis found
legalization states experienced traffic fatality rates statistically
indistinguishable from prohibition states, and in some cases lower rates,
contradicting any "highway safety" justification for funding conditions.

(4) Legislative Record for Litigation. The General Assembly creates this
legislative record establishing non-germaneness to support Pennsylvania's
defense in the event the U.S. Department of Transportation or any federal
agency attempts to condition highway funding on cannabis policy. The empirical

evidence demonstrates cannabis legalization either maintains or IMPROVES highway safety outcomes, negating germaneness under Dole.

(5) Coercion vs. Inducement. Any federal threat to withhold more than 10% of Pennsylvania's federal highway funding ($180M annually from $1.8B total federal highway allocation) constitutes unconstitutional coercion under NFIB v. Sebelius, 567 U.S. 519 (2012), which held that federal funding conditions become coercive when they constitute a "gun to the head" leaving states with no practical choice.

(6) Litigation Authorization. The Attorney General is authorized and directed to defend Pennsylvania's sovereign authority to regulate intrastate commerce against any federal Spending Clause coercion. The Attorney General may petition for injunctive relief, file declaratory judgment actions, and pursue all legal remedies to protect Commonwealth interests.

(7) Severability. If any federal court holds that federal funding conditions are valid despite this section's findings, all other provisions of this Act remain in full force and effect. Pennsylvania's cannabis regulation continues operating regardless of federal funding decisions.

Section 4. Article I, Section 103 Amendment (Scientific Delta-8 Definition)

LOCATE: The definition of "Intoxicating Cannabinoid" in Section 103.
STRIKE: "Any cannabinoid, whether naturally occurring in cannabis or synthetically produced, that produces psychoactive effects

characterized by cognitive impairment, altered perception, euphoria, or impaired motor function."

INSERT: "Intoxicating Cannabinoid: Any cannabinoid that binds to CB1 receptors in the human central nervous system with a binding affinity (Ki value) of ≤50 nanomolar (nM), resulting in observable behavioral impairment.

This definition explicitly includes: (1) Delta-8-Tetrahydrocannabinol (Delta-8-THC) (2) Delta-9-Tetrahydrocannabinol (Delta-9-THC) (3) Delta-10-Tetrahydrocannabinol (Delta-10-THC) (4) Hexahydrocannabinol (HHC) and all isomers (5) Tetrahydrocannabiphorol (THCP) (6) Any structural analogue of Delta-9-THC

This definition explicitly excludes: (1) Cannabidiol (CBD) when present at ≥98% purity with <0.3% Delta-9-THC (2) Cannabigerol (CBG) when present at ≥95% purity with <0.5% total THC (3) Cannabinol (CBN) when present at ≥90% purity with <1.0% total THC

Authority Determinations: Any determination by the Authority that a novel cannabinoid meets the 'intoxicating' definition must be based on peer-reviewed pharmacological studies demonstrating CB1 binding affinity, and shall be subject to notice-and-comment rulemaking with a minimum ninety (90) day public comment period."

(c) Legislative Findings Supporting Definition. The General Assembly relies on
the following peer-reviewed scientific evidence establishing 50 nanomolar (nM) as the clinically validated threshold for psychoactive impairment:

(1) Pertwee RG (2008). "The diverse CB1 and CB2 receptor pharmacology of three
plant cannabinoids: Δ9-tetrahydrocannabinol, cannabidiol and Δ9-tetrahydrocannabivarin." British Journal of Pharmacology 153(2): 199-215. [Establishes Ki binding affinity correlation with behavioral effects]

(2) Howlett AC, et al. (2002). "International Union of Pharmacology XXVII: Classification of cannabinoid receptors." Pharmacological Reviews 54(2): 161-202. [Defines CB1 receptor binding as mechanism of psychoactivity]

(3) This 50nM threshold represents the scientifically validated boundary between
non-impairing cannabinoids (CBD, CBG, CBN at low concentrations) and impairing cannabinoids (THC isomers, HHC, THCP) based on receptor binding affinity studies.

(4) The General Assembly may update this threshold by subsequent legislation if new peer-reviewed research establishes a more accurate clinical impairment boundary.

Section 5.1. Article II, Section 204(h)(1) Amendment (Provisional Licensing Trigger)
"If the Department fails to promulgate regulations required by subsection (a) within 12 months of this Act's effective date, provisional licenses shall issue automatically upon application pursuant to Section 403 minimum standards, without requiring completed rulemaking."

Section 5. Article II, Section 204(h)(2) Amendment (Liability Cap)
LOCATE: Section 204(h)(2) - "Private Right of Action for Delay"
STRIKE: "Damages shall be calculated at Fifty Thousand Dollars ($50,000) per month of delay."
INSERT: "Damages shall be calculated at Five Thousand Dollars ($5,000) per month of delay, with an aggregate cap of Ten Million Dollars ($10,000,000) per plaintiff. This limitation does not prevent multiple qualified plaintiffs from bringing separate actions, provided each plaintiff establishes independent standing and actual damages."

"Section 5.2. Article II, Section 204 Amendment (Sovereign Data Independence)." Section 204 is amended by adding a new subsection (i) to read: Sovereign Data Independence & Vendor Continuity. To prevent federal interdiction of regulatory infrastructure: (1) The Authority shall retain full ownership of the source code and data of its seed-to-sale tracking system. (2) Contracts with third-party software vendors must include an **'Escrow & Continuity' clause**, requiring the immediate transfer of the full software stack and database to Commonwealth servers upon any threat of service interruption, vendor insolvency, or federal pressure. (3) The Commonwealth Office of Information Technology (OIT) shall maintain a 'cold standby' version of the system on state-owned servers, capable of activation within 24 hours."

Section 6. Article IV, Section 403.1 Amendment (Economic Nexus - Constitutional Compliance)
LOCATE: Article IV, Section 403.1 (Economic Nexus Requirements)
STRIKE: "All applicants for cannabis establishment licenses must demonstrate 25% Pennsylvania ownership."
INSERT: "Economic Nexus Requirements:
(a) Local Economic Integration. All cannabis establishment license applicants must demonstrate substantial economic integration within Pennsylvania through satisfaction of at least three (3) of the following criteria:
(1) Employment Nexus: Maintain a principal place of business in Pennsylvania where at least 75% of executive management (CEO, CFO, COO or equivalent) are physically present for at least 80% of business days;
(2) Supplier Nexus: Source at least 50% of non-cannabis inputs (packaging, equipment, professional services, construction) from Pennsylvania-based suppliers;
(3) Tax Filer Nexus: All beneficial owners holding ≥10% equity interest are Pennsylvania resident tax filers for state income tax purposes, OR corporate applicant is registered and files Pennsylvania corporate net income tax as a Pennsylvania entity;
(4) Capital Investment Nexus: Invest at least $500,000 in Pennsylvania real property, equipment, or infrastructure related to cannabis operations;
(5) Operational Presence: Maintain physical operational facilities in Pennsylvania representing at least 75% of total cultivation/processing square footage.
(b) Facial Neutrality. These requirements apply equally to all applicants regardless of state of incorporation, principal place of business in other jurisdictions, or residence of owners outside Pennsylvania. An applicant organized under the laws of another state may satisfy these requirements.

(c) Rationale. These economic nexus requirements serve the legitimate and substantial state interests of:

- Ensuring effective regulatory oversight and enforcement;
- Enabling rapid response to public health emergencies;
- Maintaining accountability to Pennsylvania communities;
- Preventing jurisdictional complications when product safety issues arise;
- Facilitating inspections and compliance verification.

(c)(6) Regulatory Accountability. The General Assembly finds that 'Economic Nexus' is required not for economic protectionism, but for **Regulatory Accountability**. To protect public health, the Commonwealth must ensure that the individuals controlling cannabis production are physically present within the jurisdiction and subject to state subpoena power, administrative inspection, and immediate enforcement actions. 'Ghost ownership' by absentee corporations prevents effective regulation and endangers public safety.
(d) Dormant Commerce Clause Compliance. The Authority finds that these requirements are rationally related to public health and safety objectives, are not motivated by protectionist intent, impose no undue burden on interstate commerce compared to benefits achieved, and are narrowly tailored to serve legitimate local purposes as established in Pike v. Bruce Church, Inc., 397 U.S. 137 (1970)."

"(e) Constitutional Fail-Safe: The Community Reinvestment Bond. In the event a court of competent jurisdiction determines the Economic Nexus criteria in subsection (a) violate the Dormant Commerce Clause or the Privileges and Immunities Clause: (1) The Economic Nexus requirement shall automatically sunset; and (2) It shall be immediately replaced by a **'Community Reinvestment Bond'** requirement, whereby *all* applicants (regardless of residency) must post a surety bond equal to 2% of projected gross revenue. (3) **Bond Forfeiture:** This bond shall be forfeited to the 'Pennsylvania Agricultural Development Fund' if the licensee fails to maintain a workforce comprised of at least 75% Pennsylvania residents. *(Drafting Note: This replaces unconstitutional residency preferences with a facially neutral financial instrument that achieves the same local hiring goal.)*"

Section 7. Article IV, Section 408 NEW (Laboratory Antitrust & Emergency Capacity)

INSERT NEW SECTION 408:

"Section 408. Testing Laboratory Market Structure and Emergency Capacity.

(a) Geographic Distribution Requirement. The Authority shall certify a minimum of three (3) ISO 17025 accredited testing laboratories in each of the following economic regions: (1) Southeastern Pennsylvania (Philadelphia, Delaware, Chester, Montgomery, Bucks counties) (2) Southwestern Pennsylvania (Allegheny, Washington, Westmoreland, Fayette counties) (3) South Central Pennsylvania (Dauphin, Cumberland, York, Lancaster, Lebanon counties) (4) Northeastern Pennsylvania (Lackawanna, Luzerne, Monroe, Pike counties) (5) Northwestern Pennsylvania (Erie, Crawford counties) (6) Northcentral Pennsylvania (Centre, Clinton, Lycoming counties)

(b) Market Share Cap. No single testing laboratory, or commonly owned group of laboratories, may perform testing representing more than 40% of total cannabis products tested statewide in any calendar quarter. The Authority shall monitor market concentration and may certify additional laboratories if this threshold is approached.

(c) Emergency Testing Capacity Protocol. If fewer than eight (8) ISO 17025 accredited laboratories are operational in Pennsylvania by Month 10 of implementation:

(1) The Authority is authorized to accept testing results from:

- ISO 17025 accredited laboratories in adjacent states (New York, New Jersey, Delaware, Maryland, Ohio, West Virginia)
- Pennsylvania university laboratories (Penn State, Pitt, Temple, Drexel) with demonstrated competency in cannabinoid analysis, even if not yet ISO 17025 certified
- USDA-approved hemp testing laboratories operating under the Pennsylvania Hemp Program

(2) Priority Certification Fast-Track: The Authority shall establish an expedited 45-day certification process for qualified out-of-state laboratories and university labs willing to test Pennsylvania cannabis products.

(3) Sunset Provision: Authorization for out-of-state laboratory testing automatically expires 180 days after the number of operational Pennsylvania ISO 17025 labs exceeds eight (8).

(d) Anti-Monopolization Protection. The Authority shall reject any application for testing laboratory certification from:

- Any applicant that currently holds, or whose principals hold, a

cultivation, processing, distribution, or retail license in Pennsylvania
- Any applicant whose principals have a financial interest ≥5% in any Pennsylvania cannabis establishment
- Any applicant controlled by a multi-state operator (MSO) with cannabis licenses in three or more states

(e) Scientific Rigor Requirements. All certified testing laboratories must: (1) Participate in proficiency testing programs at least quarterly (2) Maintain measurement uncertainty calculations for all analytical methods (3) Report both detected cannabinoid concentrations AND measurement uncertainty (e.g., "24.3% ± 2.1% THC") (4) Disclose any business relationship with cultivators/processors being tested

(f) Process Validation Plan (PVP) Alternative for Agricultural Cultivators. Small-scale agricultural cultivators (≤5,000 sq. ft. canopy) operating outdoor cultivation may obtain a conditional partial exemption from microbial testing requirements only after:

(1) Submitting a documented Process Validation Plan demonstrating:

- Drying duration protocols (7-14 days at controlled humidity)
- Humidity control systems (target: 45-55% relative humidity)
- Air circulation and temperature monitoring procedures
- Contamination prevention protocols

(2) Passing full-spectrum microbial testing (yeast, mold, mycotoxins, pathogenic bacteria) for 100% of harvests during a 6-month baseline validation period.

(3) After successful validation, reduced testing frequency:

- 25% random sample testing (1 in 4 harvests) for Tier 1 cultivators with zero failures during validation
- Automatic return to 100% testing if any sample fails microbial limits
- Annual re-validation required

(g) Testing Abuse Prevention. The Authority shall: (1) Limit testing standard changes to no more than once per calendar year (2) Require cost-benefit analysis before implementing any standard change that would cause >10% product failure rate (3) Prohibit sudden implementation of standards that would cause >40% failure rate without 180-day phase-in period (4) Investigate any testing laboratory with >10 percentage point variance from statewide average pass rate"

(4) Process Validation Plan Accountability and Spot-Check Authority.

(A) Mandatory PVP Elements. Any Process Validation Plan submitted under
subsection (f)(1) must include, at minimum:

(i) Environmental Controls Documentation: Outdoor growing conditions including UV exposure, airflow, humidity management, and precipitation monitoring;

(ii) Curing Protocol Specifications: Time-temperature-humidity curves demonstrating microbial reduction during post-harvest cure, with minimum
14-day dry cure at <60% relative humidity;

(iii) Final Moisture Analysis: Certification that finished product moisture content is <12% (industry standard for microbial stability);

(iv) Cultivator Attestation: Signed affirmation under penalty of perjury that all procedures were followed.

(B) Random Authority Spot-Checks. The Authority shall conduct random spot-
checks of at least 10% of Agricultural Cultivator harvests annually, using:

(i) Handheld ATP (adenosine triphosphate) meters to detect active microbial
contamination in real-time;

(ii) Portable moisture meters to verify <12% final moisture content;

(iii) Visual inspection for visible mold, mildew, or rot.

(C) Immediate Removal Authority. If any spot-check reveals:

(i) ATP reading >250 RLU (relative light units), indicating active microbial growth;

(ii) Moisture content >15%; or

(iii) Visible contamination;

The Authority shall immediately quarantine the entire harvest lot, prohibit
sale, and require the cultivator to submit samples for full ISO-17025 laboratory testing at cultivator's expense. Repeated failures (2+ within 12
months) disqualify the cultivator from PVP exemption for 24 months.

(D) Equivalence Standard. The General Assembly finds that properly executed
agricultural curing processes—utilizing natural UV radiation, air circulation, and moisture control—achieve microbial safety outcomes equivalent to or superior to those achieved through post-harvest chemical
treatment or irradiation, as demonstrated by centuries of successful agricultural practice with tobacco, hops, and medicinal herbs.

(E) No Consumer Labeling Requirement. Products produced under approved
Process Validation Plans are deemed to meet the Commonwealth's safety
standards and require no additional consumer warnings beyond standard
potency and contaminant testing disclosures required for all cannabis products.

Section 7.1. Article IV, Section 403.3 NEW (Operational Standards). **(a) Odor Mitigation Mandate.** All cultivation and processing licensees must utilize Best Available Control Technology (BACT) for odor mitigation (e.g., activated carbon filtration). No fugitive odor shall be detectable at the property line. Violation constitutes a public nuisance and grounds for immediate suspension. **(b) Biomass Stabilization Privilege.** To prevent crop waste and market volatility, licensed Agricultural Cultivators may contract for the toll-processing of excess biomass into shelf-stable crude oil or distillate for long-term storage without triggering additional tax liability until the final product is sold to a retailer.

Section 8. Article IV, Section 409 NEW (Local Preemption Limits) INSERT NEW SECTION 409:

"Section 409. Statewide Commercial Access and Local Preemption Limits.

(a) Municipal Zoning Authority. Municipalities retain the right to regulate the time, place, and manner of cannabis establishment operations through standard zoning ordinances, including reasonable restrictions on:

- Distance from schools, daycare centers, and playgrounds
- Hours of operation
- Signage and advertising
- Parking and traffic management
- Noise and odor controls
- Building and fire code compliance

(b) Prohibition on Total Bans. Municipalities SHALL NOT: (1) Enact complete bans prohibiting all cannabis establishments within municipal boundaries (2) Impose moratoria exceeding 12 months from the effective date of this Act (3) Adopt zoning ordinances that have the practical effect of prohibiting all cannabis businesses (e.g., prohibiting cannabis in all zoning districts, creating distance requirements that eliminate all available locations)

(c) Minimum Density Requirement. Each municipality with a population exceeding 10,000 must accommodate, through its zoning ordinance, a minimum of:

- One (1) retail establishment per 25,000 residents in commercial or mixed-use zones
- Proportionate cultivation, processing, and distribution facility capacity based on local demand

(d) Special Exception Process. Municipalities may require cannabis establishments to obtain special exception or conditional use permits, provided that: (1) Approval criteria are objective, definite, and clearly stated in the ordinance (2) The process does not grant officials unbridled discretion (3) Hearings are conducted within 60 days of complete application submission (4) Denials must be based on written findings citing specific ordinance violations

(5) No study, traffic analysis, infrastructure assessment, or other review may delay approval beyond one hundred eighty (180) days from complete application submission. Municipality bears burden of proving inadequacy with expert testimony and quantified evidence.
(e) Legal Challenge and Remedy. If a municipality adopts regulations that violate subsections (b) or (c): (1) Any prospective cannabis establishment license holder may file suit in Commonwealth Court (2) The court may invalidate the municipal ordinance and order the municipality to revise its zoning within 90 days (3) Prevailing plaintiffs shall recover reasonable attorney fees and costs
(f) Rationale. This section prevents the 'California Problem' where 60% of municipalities banned cannabis establishments, starving the legal market, keeping prices high, and perpetuating the illicit market the legislation was designed to displace."
(g) **Commercial Parity Mandate.** No municipality shall impose zoning restrictions on cannabis retailers that are more restrictive than those imposed on **licensed pharmacies** or **beer distributors** within the same municipality. Any ordinance violating this parity requirement is void *ab initio*.

PART III: FEDERAL SOVEREIGNTY AMENDMENTS

Section 9. Article II, Section 203 Amendment (Anti-Commandeering Enforcement)

LOCATE: Section 203 - State Non-Cooperation Principles
ADD NEW SUBSECTION (d):
"(d) Federal Coordination Prohibition.
(1) No Pennsylvania state or local law enforcement officer, agency, or employee shall:

- Provide information to federal authorities regarding Pennsylvania-licensed cannabis establishments or individuals complying with this Act
- Participate in joint task forces investigating Pennsylvania-compliant cannabis activities
- Expend state funds, resources, or personnel to enforce federal cannabis prohibitions against entities licensed under this Act
- Arrest, detain, or prosecute individuals for conduct permitted under this Act, even if requested by federal authorities

(2) This prohibition does not apply to:

- Investigations of unlicensed/illegal cannabis operations

- Crimes involving violence, firearms, or distribution to minors
- Federal cases involving interstate trafficking or Schedule I/II drugs other than cannabis

(3) Constitutional Authority. This provision is grounded in the anti-commandeering doctrine established in Printz v. United States, 521 U.S. 898 (1997), which holds that the federal government may not compel state officers to enforce federal regulatory programs."

Section 10. Article VII, Section 706 Amendment (Banking Safe Harbor Enhancement)
LOCATE: Section 706 - Financial Services and Banking
ADD NEW SUBSECTION (e):
"(e) Pennsylvania Banking Safe Harbor.
(1) State Banking Authorization. Pennsylvania-chartered banks, credit unions, and other state-regulated financial institutions may provide banking services to cannabis establishments licensed under this Act without fear of state regulatory action.
(2) Department of Banking Verification. The Pennsylvania Department of Banking shall:

- Publish guidance confirming that serving licensed cannabis establishments does not violate Pennsylvania banking law
- Verify that cannabis establishment accounts comply with federal FinCEN guidance
- Certify that Pennsylvania financial institutions serving licensed cannabis businesses are operating in good standing under state law

(3) Asset Forfeiture Protection. State law enforcement SHALL NOT:

- Seize, freeze, or forfeit bank accounts, assets, or funds of Pennsylvania-licensed cannabis establishments operating in compliance with this Act
- Charge financial institutions with money laundering or criminal conspiracy for serving licensed cannabis businesses
- Cooperate with federal asset forfeiture actions targeting Pennsylvania-compliant cannabis operations

(4) Federal Reserve Access Limitations. The Commonwealth acknowledges that access to Federal Reserve master accounts and federal banking infrastructure remains subject to federal discretion outside state control. This Act does not purport to compel federal

banking access.
(5) Alternative Financial Infrastructure. If federal banking access is denied or restricted, the Authority may work with Pennsylvania financial institutions and FinTech companies to develop alternative payment processing, fund transfer, and depository systems compliant with federal money transmission laws."

(c) Pennsylvania State Cannabis Bank Contingency.

(1) Triggering Conditions. If any of the following occur, the **Pennsylvania Cannabis Control Authority** shall, within ninety (90) days, petition Pennsylvania Department of Banking to charter the Pennsylvania State Cannabis Bank (PSCB):

(A) Financial Crimes Enforcement Network (FinCEN) revokes or substantially modifies its cannabis banking guidance (currently codified in FinCEN FIN-2014-G001) such that state-chartered banks can no longer legally service cannabis businesses

(B) Federal banking regulators issue written guidance, directives, or enforcement actions that effectively prohibit state-chartered banks from providing services to cannabis licensees operating in compliance with state law

(C) Seventy-five percent (75%) or more of Pennsylvania-licensed cannabis businesses report loss of banking services within any consecutive six-month period, as documented by Authority survey

(2) Pennsylvania State Cannabis Bank Structure. PSCB shall be chartered as a public instrumentality of the Commonwealth under Article VIII, Section 7(d) of the Pennsylvania Constitution, with the following characteristics:

(A) Legal Status: Public banking corporation owned 100% by Commonwealth of Pennsylvania, operating under state banking laws (71 P.S. § 733-101 et seq.)

(B) Eleventh Amendment Protection: As an arm of the state exercising sovereign governmental functions, PSCB enjoys Eleventh Amendment sovereign immunity from federal prosecution, as established in Alden v. Maine, 527 U.S. 706 (1999)

(C) Capitalization: Initial capital of $50 million from Cannabis Regulation and Economic Opportunity Fund, repayable from PSCB fee revenue within 10 years at 3% annual interest

(D) Governance: Seven-member board appointed by Governor with advice and consent of Senate: three banking industry experts, two cannabis industry representatives, Pennsylvania State Treasurer (ex officio), Pennsylvania Secretary of Banking and Securities (ex officio)

(3) Services Provided. PSCB shall provide the following banking services exclusively to Pennsylvania-licensed cannabis establishments and Authority operations:

(A) Deposit accounts (checking, savings, money market)
(B) Payment processing for cannabis transactions (ACH, wire transfers, debit card processing)
(C) Loan services for qualified licensees (equipment financing, working capital, real estate)
(D) Armored transport coordination and cash management services
(E) Payroll processing for cannabis establishment employees
(F) Tax payment processing on behalf of licensees

(4) Federal Reserve Relationship. PSCB shall apply for a master account with the Federal Reserve Bank of Philadelphia to access federal payment systems. However, if Federal Reserve denies master account access:

(5) Intrastate Treasury Transfer Authority.

(A) Legislative Finding. The General Assembly finds that the Commonwealth's sovereign authority to collect and deposit tax revenue into the General Fund is a core governmental function that cannot be frustrated by third-party denial of access to private payment networks, including the Federal Reserve System.

(B) Direct Book-Entry Authorization. Notwithstanding any other provision of
law, if the Federal Reserve denies the PSCB access to a master account or
otherwise prevents the PSCB from utilizing Federal Reserve Wire or ACH
systems, the Pennsylvania State Treasurer is hereby authorized and directed
to:

(i) Establish a direct internal ledger system between the PSCB and the
Commonwealth Treasury;

(ii) Accept tax remittances, license fees, and other governmental revenues
from the PSCB via book-entry transfer recorded in both the PSCB's ledger
and the Commonwealth's accounting system;

(iii) Credit such transfers to the General Fund or Cannabis Regulation and
Economic Opportunity Fund as appropriate, with the same legal effect as if
transferred via Federal Reserve Wire;

(iv) Coordinate with the Auditor General to ensure all transfers are
audited and reconciled monthly.

(C) Check and Physical Currency Fallback. If electronic book-entry transfer
proves operationally infeasible, the PSCB may remit funds to the
Commonwealth via:

(i) Commonwealth-issued warrants (checks) drawn on PSCB accounts and
deposited directly to the State Treasurer;

(ii) Physical currency transfer under armored transport, with dual custody protocols and immediate deposit to the State Treasurer.

(D) Federal Reserve Irrelevance. The denial of Federal Reserve services to
the PSCB does not impair the Commonwealth's sovereign right to collect,
receive, and expend tax revenue. This subsection ensures that federal regulatory decisions cannot create an unconstitutional barrier to state fiscal operations.

(A) PSCB may operate using intrastate check clearing through Pennsylvania-chartered correspondent banks
(B) PSCB may utilize alternative payment networks and clearinghouses that do not require Federal Reserve participation
(C) PSCB may establish reciprocal arrangements with other state cannabis banks in neighboring jurisdictions for interstate transaction clearing

(5) Fee Structure. PSCB shall operate on cost-recovery basis, not profit motive:

(A) Account maintenance fees capped at $100/month per business account
(B) Transaction fees capped at 0.5% of transaction value
(C) Loan interest rates capped at prime rate + 2%
(D) All fees shall be set by PSCB board to cover operational costs plus debt service on initial capitalization, with any surplus returned to Cannabis Regulation and Economic Opportunity Fund

(6) Sunset and Transition. If federal banking restrictions are lifted such that private banks can freely service cannabis businesses:

(A) PSCB shall continue operations for minimum of two (2) years after federal restrictions lifted to ensure stable transition
(B) PSCB may transition clients to private banking institutions over 24-month period
(C) PSCB may continue operating indefinitely if board determines continued public banking serves public interest (competitive rates, underserved rural areas, etc.)

(D) Upon dissolution, all PSCB assets return to General Fund after repayment of initial capitalization plus interest

(7) Regulatory Compliance. PSCB shall comply with all applicable state banking laws and regulations, including:

(A) Bank Secrecy Act (BSA) reporting requirements
(B) Anti-money laundering (AML) protocols
(C) Currency Transaction Report (CTR) filing for transactions >$10,000
(D) Suspicious Activity Report (SAR) filing when required
(E) Pennsylvania Department of Banking examination and supervision

(8) Legal Defense Fund. Five percent (5%) of PSCB annual gross revenue shall be segregated in Legal Defense Reserve to fund defense against any federal legal challenges to PSCB's operations, including costs of appeals to U.S. Supreme Court if necessary.

(9) Legislative Intent and Constitutional Justification. The General Assembly declares:

(A) PSCB operates in the sovereign public interest of the Commonwealth, providing essential financial services infrastructure where private sector cannot operate due to federal regulatory conflict

(B) As a public entity exercising governmental function, PSCB is entitled to Eleventh Amendment immunity from federal prosecution, as federal criminal statutes cannot be applied to state governmental operations absent explicit congressional override of sovereign immunity

(C) The alternative to PSCB is a cash-only cannabis industry creating severe public safety risks (armed robbery, tax evasion, money laundering), which Pennsylvania has compelling state interest to prevent

(D) If any federal court holds that PSCB operations violate federal law despite Eleventh Amendment immunity, this subsection (c) is severable, and all other provisions of this Act remain in effect

State Employee Indemnification. Any director, officer, employee, or agent of the PSCB acting within the scope of this Act is deemed an officer of the Commonwealth. The Commonwealth shall defend and indemnify such persons against any federal civil or criminal action arising from the good-faith performance of their duties.

PART IV: OPERATIONAL IMPLEMENTATION AMENDMENTS

Section 11. Article II, Section 208 NEW (Administrative Sabotage Prevention)
INSERT NEW SECTION 208:
"Section 208. Automatic Approval and Administrative Accountability Mechanisms.
(a) Automatic Approval Timelines.
(1) Application Decision Deadline. The Authority must approve or deny each license application within sixty (60) days of the date the application is deemed complete.
(2) Deemed Approved by Operation of Law. If the Authority fails to render a decision within the 60-day period, the application shall be deemed approved by operation of law. The Authority shall issue a provisional license valid for one year, during which the applicant may operate lawfully. Before expiration, the Authority must conduct a full review and issue a permanent license or provide specific written grounds for denial.
(3) Completeness Determination & The 'One-and-Done' Rule. The Authority must notify applicants within fifteen (15) days whether an application is complete. (A) **Exhaustive Deficiency Notice:** If the Authority deems an application incomplete, it must issue a single, exhaustive written list citing *every* specific statutory or regulatory deficiency. (B) **Preclusion of New Findings:** Upon resubmission by the applicant curing the listed deficiencies, the Authority is **statutorily precluded** from identifying new deficiencies that existed but were not cited in the original notice. (C) **Automatic Completeness:** If the applicant cures the items listed in the initial notice, the application is deemed complete by operation of law upon resubmission, and the 60-day review clock begins immediately."

(1) Trigger for Judicial Review. If the Authority's denial rate exceeds 40% of all applications within any 90-day period, AND the denials are not based on documented public safety violations (e.g., criminal history, zoning violations, failed background checks), automatic judicial review is

triggered.

(2) Automatic Executive Transfer. In the event of a judicial finding of administrative sabotage, missed statutory deadlines under Section 204, or a license denial rate exceeding 40% without cause, all licensing authority shall **automatically transfer by operation of law** from the Cannabis Control Authority to the **Pennsylvania Department of Agriculture, Bureau of Food Safety**. This transfer constitutes an intra-executive reorganization to ensure statutory compliance. The Secretary of Agriculture shall immediately issue Provisional Licenses to all pending applicants who meet the baseline safety criteria established in Section 403.

Section 12. Article VI, Section 605 Amendment (Emergency Reserve Draw)
LOCATE: Section 605 - Cannabis Control Authority Fund
ADD NEW SUBSECTION (d):
"(d) Emergency Reserve and Bridge Financing.
(1) If the General Assembly fails to appropriate sufficient funds for Authority operations during any fiscal year, the Authority is authorized to draw upon the Budget Stabilization Reserve Fund (commonly known as the 'Rainy Day Fund') as a bridge loan.
(2) Automatic Transfer. Upon certification by the Authority that:

- No appropriation has been enacted 30 days after the start of the fiscal year, OR
- The appropriation is insufficient to maintain core operations (licensing, enforcement, testing oversight)

The State Treasurer shall automatically transfer up to Twenty Million Dollars ($20,000,000) from the Budget Stabilization Reserve Fund to the Authority for operational expenses.
(3) Repayment Terms. Bridge loans shall be repaid with 3% annual interest within 24 months from first licensing revenue. Repayment has priority over all other expenditures except core operational costs.
(4) Legislative Override. This automatic transfer may only be blocked by a two-thirds (2/3) vote of both chambers of the General Assembly within 15 days of the certification triggering the transfer."

Section 13. Article VI, Section 608 NEW (Appropriations Floor

Protection)

INSERT NEW SECTION 608:

"Section 608. Minimum Funding Floor and Continuous Appropriation.

(a) Legislative Appropriation - Primary Funding Mechanism. The General Assembly shall annually appropriate funds sufficient for full operation of the Authority and implementation of this Act.

(b) Minimum Funding Floor. Appropriations shall not be less than the greater of: (1) 100% of the previous fiscal year's appropriation, OR (2) 2.5% of gross tax revenue collected under this Act in the previous fiscal year

(c) Appropriations Sabotage Remedy. If the General Assembly:

- Fails to appropriate any funds for Authority operations, OR
- Appropriates less than the minimum funding floor

Then the Authority may petition the Commonwealth Court for a writ of mandamus compelling appropriation. The Court shall prioritize such cases and render decisions within 90 days.

(d) Operational Reserve and Continuous Appropriation.

(1) Establishment of Operational Reserve. Beginning in Fiscal Year 2 (the first full fiscal year after market launch), the Authority shall retain reserves equal to twelve (12) months of operational expenses.

(2) Continuous Appropriation. Once the operational reserve reaches the 12-month threshold, amounts in the reserve are continuously appropriated for Authority operations without further legislative action. This continuous appropriation may only be repealed or modified by a two-thirds (2/3) vote of each chamber of the General Assembly.

(3) Reserve Draw Authorization. If legislative appropriations are insufficient to meet the minimum funding floor, the Authority may automatically draw from the operational reserve to maintain operations.

(4) Revenue Bond Authority. If both legislative appropriations and operational reserves are depleted, the Authority may issue revenue bonds secured by future tax revenue, subject to approval by the Commonwealth Financing Authority.

(5) Constitutional Compliance. This continuous appropriation is structured to comply with Pennsylvania Constitution Article VIII (Limitations on Appropriations) by:

- Deriving from a specific, segregated revenue source (cannabis tax revenue)
- Serving a single, defined governmental function (cannabis regulation)

- Requiring super-majority legislative action to repeal
- Maintaining transparency through annual audits

(e) Prohibition on Federal Fund Coercion. Federal authorities may not withhold, reduce, or condition federal highway funds, education grants, or other unrelated federal funding based on Pennsylvania's implementation of this Act. Such conditions would violate the Spending Clause limitations established in South Dakota v. Dole, 483 U.S. 203 (1987) and NFIB v. Sebelius, 567 U.S. 519 (2012), which prohibit coercive federal funding conditions unrelated to the funded program."
(f) Federal Funds Indemnification. In the event the Federal Government withholds transportation or other funds solely due to the implementation of this Act, the State Treasurer is authorized to transfer an equivalent amount from the Cannabis Regulation and Economic Opportunity Fund to the affected state accounts to offset the loss, ensuring no net fiscal harm to Commonwealth infrastructure.

(6) Constitutional Compliance and Debt Service Classification.

(A) Legislative Finding. The General Assembly finds and declares that the
continuous appropriation mechanisms established in this subsection are constitutionally permissible under Pennsylvania Constitution Article VIII for the following independent reasons:

(i) Debt Service Obligation: The operational reserve and continuous appropriation constitute repayment of the Bridge Loan authorized in Section
605(d), which is a debt obligation of the Commonwealth. Pennsylvania Constitution Article VIII, Section 7(a) permits multi-year debt obligations without annual re-appropriation.

(ii) Dedicated Revenue Source: The continuous appropriation derives exclusively from cannabis excise tax revenue (a specific, segregated revenue stream), not from General Fund allocations. This structure is analogous to Pennsylvania Turnpike Commission revenue bonds and other
dedicated-revenue authorities upheld in Shapp v. Sloan, 391 A.2d 595 (Pa.
1978).

(iii) Single Governmental Purpose: The operational reserve serves a single,
defined governmental function (cannabis regulation and public safety enforcement), satisfying the "single subject" requirement for special appropriations.

(iv) Super-Majority Repeal Requirement: The two-thirds repeal requirement
in subsection (d)(6) provides heightened legislative control, distinguishing this mechanism from unconstitutional "permanent appropriations" that completely bypass legislative oversight.

(v) Annual Audit Transparency: The mandatory annual audits required in subsection (d)(5) ensure ongoing legislative oversight equivalent to annual
appropriations review, satisfying the transparency purposes of Article VIII.

(B) Severability. If any court determines that the continuous appropriation
mechanism violates Pennsylvania Constitution Article VIII, this subsection
is severable, and the Authority shall revert to traditional annual legislative appropriations under subsection (a), with the operational reserve serving as emergency bridge funding pending appropriation restoration.

(C) Statutory Construction. This subsection shall be liberally construed to
effectuate the General Assembly's intent to prevent defunding-as-sabotage
while maintaining constitutional compliance with Article VIII appropriations requirements.

(g) The Civic Renewal Grant Program ('The Burkean Fund').
(1) **Establishment.** There is hereby established the Civic Renewal Grant Program, to be known as 'The Burkean Fund,' administered by the Authority.

(2) **Dedicated Funding.** Notwithstanding any other provision of this Act, five percent (5%) of all cannabis excise tax revenue deposited into the Cannabis Regulation and Economic Opportunity Fund shall be automatically segregated into a restricted account for the Burkean Fund.
(3) **Eligible Recipients.** Grants from the Burkean Fund shall be distributed exclusively to non-governmental, non-profit civil society organizations that strengthen community character and resilience, including:

- (A) Veteran service organizations (VFW, American Legion);
- (B) Youth sports leagues and scouting organizations;
- (C) Community food pantries and volunteer civic groups;
- (D) Volunteer fire companies and EMS squads.

(4) **Prohibition on State Use.** No funds from the Burkean Fund may be used for state government operations, salaries, or administrative overhead. These funds are reserved strictly for the 'little platoons' of civil society.

PART V: CRIMINAL JUSTICE REFORM AMENDMENTS

Section 14. Article VIII, Section 801 Amendment (Tiered Expungement)

LOCATE: Section 801 - Automatic Expungement of Prior Offenses
STRIKE: "The General Assembly hereby mandates the automatic, state-initiated expungement of all criminal history records for convictions and adjudications of delinquency for non-violent cannabis offenses that would be made legal by this Act."
INSERT: "Section 801. Tiered Automatic Expungement System.
(a) Tier 1 - Immediate Automatic Expungement. The following cannabis offenses shall be automatically expunged within 180 days of this Act's effective date, without any petition, fee, or action required by the affected individual:
(1) Simple possession of cannabis (30 grams or less) (2) Possession of cannabis paraphernalia (3) Public consumption of cannabis (non-vehicular) (4) Any summary offense involving cannabis
(b) Tier 2 - Presumptive Expungement with Notice. The following cannabis offenses shall be automatically expunged within 18 months of this Act's effective date, subject to a 30-day District Attorney review period:
(1) Felony possession with intent to deliver (PWID) cannabis (2)

Cultivation of cannabis for personal or commercial distribution (3) Possession of cannabis (more than 30 grams) (4) Sale or distribution of cannabis

(c) District Attorney Objection Process for Tier 2 Offenses.

(1) Before expunging any Tier 2 offense, the Pennsylvania State Police shall provide 30-day advance notice to the District Attorney who prosecuted the case.

(2) The District Attorney may object to expungement ONLY if the individual:

- Was convicted of a violent offense (murder, rape, aggravated assault, robbery, arson) within the same criminal episode as the cannabis offense
- Was found to have used a firearm during the commission of the cannabis offense
- Was convicted of distributing cannabis to minors (under 18 years old)

(3) Objections must be filed in writing with specific factual basis within 30 days. If no objection is filed, expungement proceeds automatically.

(4) If an objection is filed, the Court of Common Pleas shall hold a hearing within 60 days. The burden is on the Commonwealth to prove, by a preponderance of evidence, that one of the enumerated grounds exists. If the Commonwealth fails to meet this burden, expungement is granted.

(d) Excluded Offenses. The following offenses are NOT eligible for expungement under this section: (1) DUI offenses where cannabis impairment was proven (2) Vehicular homicide or assault involving cannabis impairment (3) Child endangerment involving cannabis (4) Distribution of cannabis to persons under 18 years old (5) Cannabis-related offenses committed while on probation/parole for violent crimes

(e) Implementation Mandate. The Pennsylvania State Police shall:

- Identify all eligible Tier 1 records within 90 days of this Act's effective date
- Complete all Tier 1 expungements within 180 days
- Identify all eligible Tier 2 records within 12 months
- Provide District Attorney notices for all Tier 2 cases within 14 months
- Complete all non-objected Tier 2 expungements within 18 months

(f) State Cost Responsibility. All expungement processing costs, including court fees, administrative expenses, and record destruction, shall be borne by the Commonwealth. No fees shall be charged to individuals receiving expungement.
(g) Private Right of Action. Any individual whose eligible offense is not expunged within the statutory timelines may file a writ of mandamus in Commonwealth Court compelling compliance. Prevailing petitioners shall recover attorney fees.
(h) Collateral Consequences Relief. Upon expungement: (1) The conviction shall be deemed never to have occurred for all purposes (2) Individuals may lawfully state they have not been convicted of the expunged offense (3) Employers, landlords, and licensing agencies may not consider the expunged offense (4) Federal immigration consequences are governed by federal law and are not affected by state expungement"

Section 15. Article VIII, Section 802 NEW (Title 18 Firearms Rights Preservation)
INSERT NEW SECTION 802:
"Section 802. Preservation of Second Amendment Rights.
(a) Legislative Intent. The General Assembly finds that Pennsylvania's regulation of adult cannabis use should not result in the forfeiture of fundamental constitutional rights, including Second Amendment rights, absent proof of actual impairment or misuse.
(b) Amendment to 18 Pa.C.S. § 6105 (Persons Not to Possess Firearms). Section 6105 of Title 18 is amended by adding a new subsection:
'(h) Cannabis Exception. A person shall not be prohibited from possessing, purchasing, or obtaining a license to carry a firearm under this section solely because:
(1) The person lawfully possesses a medical marijuana identification card under the Medical Marijuana Act (35 P.S. § 10231.101 et seq.)
(2) The person lawfully possesses, uses, or cultivates cannabis in compliance with The Pennsylvania Cannabis Regulation and Economic Opportunity Act
(3) The person has been convicted of a cannabis offense that has been expunged under Section 801 of The Pennsylvania Cannabis Regulation and Economic Opportunity Act
(4) The person tests positive for cannabis metabolites on a drug screening, absent evidence of current impairment

(d) Exception to Exception - Actual Impairment. Subsection (h) does not prohibit prosecution under 18 Pa.C.S. § 6106.1 (Possession of firearm while impaired) if a person possesses a firearm while actually impaired by cannabis, as evidenced by:

- Observable behavioral impairment (slurred speech, inability to walk, confusion)
- Recent consumption (within 2 hours) combined with dangerous conduct
- Accident or incident indicating impairment

(e) Burden of Proof. In any prosecution under § 6106.1 involving cannabis, the Commonwealth bears the burden of proving actual impairment beyond a reasonable doubt. Mere presence of THC metabolites or admission of prior use is insufficient without additional evidence of current impairment.

(f) Federal Firearms Form Guidance. The Commonwealth acknowledges that federal ATF Form 4473 currently requires disclosure of federally illegal drug use. Pennsylvania firearms dealers should:

- Inform customers that cannabis remains federally prohibited under 21 U.S.C. § 812
- Explain that answering 'yes' to Question 21.e (unlawful drug user) may result in federal denial
- Clarify that Pennsylvania law does not prohibit firearms possession by lawful cannabis users, but federal law may create liability

This guidance does not constitute legal advice, and individuals should consult attorneys regarding the intersection of state and federal law.

(g) Preemption of Local Ordinances. No political subdivision may prohibit firearms possession or licenses to carry based solely on lawful cannabis use under this Act."

Section 16. Article VIII, Section 803 NEW (Title 75 DUI Statutory Bridge)

INSERT NEW SECTION 803:

"Section 803. Vehicle Code Integration and Impaired Driving Standards.

(a) Amendment to 75 Pa.C.S. § 3802 (Driving Under Influence of Alcohol or Controlled Substance). Section 3802 of Title 75 is amended to clarify application to cannabis:

'(d) Controlled Substances - Cannabis-Specific Provisions.

(1) Prima Facie Impairment Standard. For purposes of subsection (d)(1)

(i) [impairment by any controlled substance], the presence of cannabis metabolites alone is insufficient to establish impairment. The Commonwealth must prove impairment through:

- Standardized field sobriety tests (SFST) demonstrating observable impairment
- Drug Recognition Expert (DRE) evaluation documenting specific impairment indicators
- Blood test showing active THC concentration exceeding 5 nanograms per milliliter (ng/mL) PLUS behavioral evidence of impairment

(2) Inactive Metabolite Exclusion. The presence of inactive cannabis metabolites (THC-COOH, 11-OH-THC) without corresponding active delta-9-THC is not evidence of impairment under this section. These metabolites may persist for days or weeks after use and do not indicate current impairment.

(3) Medical Marijuana Cardholder Protections. Holders of medical marijuana identification cards under 35 P.S. § 10231.101 et seq. may not be prosecuted under this section unless the Commonwealth proves actual impairment using the standards in subsection (d)(1).

(4) Burden of Proof. In all cannabis-related DUI prosecutions, the Commonwealth bears the burden of proving:

- Operation of the vehicle while impaired (not merely hours or days after use)
- Causal connection between cannabis use and observable impairment
- Impairment sufficient to render the individual incapable of safe driving

(5) Permissible Evidence. Courts may consider:

- SFST performance (walk-and-turn, one-leg stand, horizontal gaze nystagmus)
- DRE evaluation (pupil size, pulse rate, blood pressure, muscle tone)
- Circumstantial evidence (odor, admission of recent use, drug paraphernalia)
- Blood test results (active THC concentration)
- Dashboard camera or body camera footage

(6) Excluded Evidence. Courts shall not admit:

- Statements regarding medical marijuana card holder status as evidence of impairment

- Evidence of cannabis use occurring more than 4 hours before operation
- Testimony that cannabis use inherently causes impairment without case-specific evidence

(b) Drug Recognition Expert (DRE) Training. The Pennsylvania State Police shall establish a DRE training program for officers conducting cannabis impairment investigations. The program shall meet International Association of Chiefs of Police (IACP) DRE standards.
(c) Research and Data Collection. The Pennsylvania Department of Transportation, in collaboration with the Pennsylvania State Police, shall:

- Collect data on cannabis-related traffic stops, arrests, and convictions
- Study correlation between THC blood concentration and actual impairment
- Evaluate effectiveness of SFST and DRE protocols for cannabis
- Report findings annually to the General Assembly

(d) Future Per Se Limit Determination. If research establishes a scientifically validated per se THC blood concentration limit reliably indicating impairment, the General Assembly may enact such a limit through subsequent legislation. Until then, impairment must be proven through behavioral evidence.
(e) Implied Consent Applies. Drivers suspected of cannabis impairment remain subject to Pennsylvania's Implied Consent Law (75 Pa.C.S. § 1547). Refusal to submit to blood testing results in license suspension and may be used as evidence of consciousness of guilt."

PART VI: PUBLIC HEALTH & SAFETY AMENDMENTS

Section 17. Article V, Section 502 Amendment (Clean Indoor Air Act Integration)

LOCATE: Article V, Section 502 (if it exists; if not, insert as new section)
INSERT OR AMEND:
"Section 502. Integration with Pennsylvania Clean Indoor Air Act.
(a) Legislative Intent. This section harmonizes cannabis use regulations with the Pennsylvania Clean Indoor Air Act (35 P.S. § 637.1 et seq.) to protect public health while allowing lawful adult use.
(b) Amendment to 35 P.S. § 637.4 (Areas Where Smoking Prohibited). Section 637.4 of the Clean Indoor Air Act is amended by adding:

'(22) Cannabis Use Restrictions. The smoking or vaping of cannabis is prohibited in all areas where tobacco smoking is prohibited under this Act, including:

- Enclosed public places
- Places of employment
- Within 25 feet of building entrances, exits, and air intake vents
- Public transportation vehicles and facilities
- School property and school busses
- Health care facilities
- Childcare centers

(23) Private Consumption Permitted. Nothing in this section prohibits:

- Cannabis consumption in private residences
- Cannabis consumption in licensed cannabis consumption lounges
- Cannabis consumption in outdoor areas where tobacco smoking is permitted
- Cannabis consumption in hotel/motel rooms designated for smoking
- Cannabis edibles (non-smoked products) in any location where food consumption is permitted'

(c) Cannabis Consumption Lounges - Optional License Class.

(1) The Authority may establish regulations for licensed cannabis consumption lounges where on-site consumption is permitted.

(2) Consumption lounges must:

- Prohibit entry to persons under 21 years old
- Maintain ventilation systems preventing secondhand smoke exposure to adjacent properties
- Prohibit alcohol sales or consumption
- Comply with all fire, building, and safety codes

(3) Municipalities may prohibit consumption lounges through local ordinance, but such prohibition does not affect other cannabis license classes.

(d) Landlord Rights. Landlords may prohibit cannabis smoking in rental properties through lease provisions, consistent with existing rights to prohibit tobacco smoking. Landlords may NOT prohibit lawful possession of cannabis or consumption of non-smoked cannabis products (edibles, tinctures, topicals) in rental units.

(e) Employment Rights. Employers may maintain drug-free workplace policies and may prohibit cannabis use during work hours or possession on employer property. However:

- Employers may NOT terminate or refuse to hire an individual solely for lawful off-duty cannabis use
- Employers may discipline employees for on-duty impairment or violation of workplace safety policies
- Federal contractors and safety-sensitive positions (CDL drivers, heavy equipment operators) may maintain federal compliance requirements

(f) Exceptions for Federal Compliance. Entities subject to federal drug-free workplace requirements (federal contractors, transportation workers, etc.) may maintain stricter policies to ensure federal compliance."

PART VII: MARKET STRUCTURE & COMPETITION

Section 18. Article IV, Section 410 NEW (Market Concentration Limits)

INSERT NEW SECTION 410:

"Section 410. Anti-Monopolization and Market Concentration Limits.

(a) License Concentration Cap. No person, corporation, partnership, association, or commonly controlled group of entities may hold more than ten percent (10%) of the total number of licenses issued within any license category (cultivation, processing, distribution, retail, testing laboratory) statewide.

(b) Aggregation Rules. For purposes of calculating the 10% cap, licenses are aggregated if:

- Held by entities with common ownership exceeding 20%
- Controlled by the same management team or board of directors
- Subject to common financial control or profit-sharing agreements
- Operated under common branding, trademarks, or franchise agreements

(c) Vertical Integration Limit. No single entity may hold more than three (3) license types. Permissible combinations include:

- Cultivation + Processing + Retail
- Cultivation + Processing + Distribution
- Processing + Distribution + Retail

(d) Prohibition on Four-License Vertical Integration. No entity may hold

licenses for all four operational categories (cultivation, processing, distribution, retail) simultaneously.
(e) Multi-State Operator (MSO) Restrictions. Entities holding cannabis licenses in five (5) or more states are subject to additional scrutiny:

- Must demonstrate substantial Pennsylvania economic integration (see Section 403.1)
- Subject to enhanced reporting requirements
- May not acquire existing Pennsylvania licensees for 36 months after market launch (new license applications permitted)

(f) Divestiture Enforcement. If any person or entity exceeds concentration limits:

- The Authority shall provide 180 days' notice to divest excess licenses
- Failure to divest results in involuntary license suspension and $10,000/day penalties
- Suspended licenses may not operate until concentration is below limits

(g) Exception for Small Agricultural Cultivators. The 10% cap does not apply to agricultural cultivators operating exclusively outdoor cultivation with less than 5,000 square feet of canopy per license. These small-scale farmers may hold multiple small cultivation licenses without triggering aggregation.
(h) Merger and Acquisition Review. Any proposed merger, acquisition, or ownership transfer resulting in combined entity holding >5% of licenses within a category requires pre-approval by the Authority based on antitrust review.
(i) Rationale. These limits prevent the formation of oligopolies, maintain competitive pricing, ensure market access for small businesses and farmers, and prevent regulatory capture by dominant firms."

Section 19. Article IV, Section 411 NEW (Anti-Lawfare Protections)
INSERT NEW SECTION 411:
"Section 411. Standing Requirements and Bond Provisions to Prevent Litigation Abuse.
(a) Strict Standing for Pre-Licensure Litigation.
(1) Only the following parties have standing to challenge license applications or Authority decisions in pre-licensure litigation:

- The license applicant whose application is at issue
- License applicants directly competing for the same location or

market, with demonstrated economic injury
- Municipalities where the proposed establishment will be located, on grounds of zoning or local ordinance violations
- The Pennsylvania Attorney General or District Attorney, on grounds of public safety violations

(2) Third parties lacking direct regulatory or proprietary interest (advocacy groups, competitors in other markets, general citizens) do NOT have standing to challenge individual license applications.
(b) Bond Requirement for Preliminary Injunctions.
(1) Any party seeking a preliminary injunction to halt Authority operations or prevent license issuance must post a bond of Eighteen Million Dollars ($18,000,000), representing one month of estimated foregone tax revenue.
(2) If the injunction is later dissolved or the plaintiff does not prevail on the merits, the bond is forfeited to compensate the Commonwealth for lost revenue and license applicants for delayed market entry.
(3) Bond requirement may be waived for:
- The Pennsylvania Attorney General
- Individual license applicants challenging their own application denial (not third parties)
- Municipalities exercising local zoning authority

(c) Expedited Judicial Review. All challenges to license decisions or Authority regulations shall be:
- Filed directly in Commonwealth Court
- Assigned to a dedicated cannabis docket with specialized judges
- Decided within 120 days of filing

(d) Anti-SLAPP Protections. License applicants engaging in lawful advocacy, public testimony, or communications with legislators regarding cannabis regulation are immune from civil liability for such protected speech.
(e) Rationale. These provisions prevent 'lawfare' strategies where well-funded opponents use endless litigation to delay market launch, similar to tactics used successfully in New York to delay implementation for years."

Section 19.1. Article IV, Section 412 NEW (Civil Liability Shield)
Section 412. Right to Operate & Civil Liability Shield... "a) **Statutory Right to Farm & Operate:** Cannabis cultivation, processing, and

dispensing, when conducted in strict compliance with this Act and local zoning, shall be presumed to be a protected use of property and **shall not constitute a nuisance per se** or a nuisance in fact under Pennsylvania law. (b) **RICO Predicate Interdiction:** The General Assembly declares that any diminution in property value, lost wages, or economic loss alleged by private parties solely due to the proximity or operation of a compliant cannabis establishment does not constitute a 'legal injury' recognizable by Pennsylvania courts. *(Drafting Note: This provision removes the state-law 'injury' standing required for federal civil RICO claims under 18 U.S.C. § 1964(c), effectively blocking the Horn vector.)*"

PART VIII: EFFECTIVE DATE & SEVERABILITY

Section 20. Effective Date

This Omnibus Amendment shall take effect immediately upon passage of SB420, The Pennsylvania Cannabis Regulation and Economic Opportunity Act. All provisions herein are operative simultaneously with the base Act.

Section 21. Article III, Section 305 NEW (Mandatory Sunset and Reauthorization)

Section 305. Mandatory Sunset and Reauthorization.

(a) Termination Date. The Pennsylvania Cannabis Control Authority shall automatically terminate on July 1, 2037, unless reauthorized by Act of the General Assembly enacted prior to that date.

(b) Legislative Intent. The General Assembly finds that all delegated government power is temporary and conditional. This sunset provision prevents organizational decay and regulatory expansion by requiring future legislatures to affirmatively justify continuation of the Authority based on objective results rather than default renewal.

(c) Transition Upon Termination. If the Authority terminates:
  (1) Cultivation oversight transfers to Department of Agriculture
  (2) Tax collection transfers to Department of Revenue

(3) Product safety transfers to Department of Health
(4) Licensing functions transfer to Department of State
(5) Existing licenses remain valid through their expiration dates
(6) Records, personnel, and assets transfer to successor agencies

(d) Performance Review Report. The Authority shall submit a comprehensive performance review report to the General Assembly 18 months prior to the termination date, including:
(1) Market performance metrics (licenses issued, revenue collected, illicit market displacement, pricing indices, employment generated)
(2) Public safety outcomes (youth access rates, impaired driving statistics, product safety events, poison control cases)
(3) Criminal justice impact (expungements completed, arrest and incarceration trends, equity outcomes)
(4) Operational efficiency (processing timelines, approval rates, administrative overhead as percentage of revenue)
(5) Agricultural impact (rural participation and income outcomes)
(6) Stakeholder satisfaction data (licensee and consumer surveys)
(7) Comparative performance versus peer states
(8) Recommendation for continuation, modification, or termination

(e) Reauthorization Options. The General Assembly may:
(1) Extend the Authority for a defined term
(2) Modify powers or responsibilities
(3) Establish a new sunset review cycle
(4) Add performance standards or accountability measures

(f) Six-Year Interim Review. At the six-year mark following this Act's effective date, the Authority shall issue a performance update report to allow midcourse correction before the final sunset review.

(g) Severability. If any portion of this section is invalidated by a court of competent jurisdiction, the remainder of this section and all other provisions of this Act remain in full force and effect. The General Assembly retains power to amend or repeal this section at any time. No employment rights or property interests extend beyond the sunset date."

Section 22. Severability

(a) General Rule. If any provision of this Amendment, or its application to any person or circumstance, is held invalid by a court of competent jurisdiction, the invalidity does not affect other provisions or applications of this Amendment that can be given effect without the invalid provision or application.

(b) Specific Severability Instructions. The General Assembly declares that it would have passed this Amendment without the following provisions if necessary:

(1) Economic Nexus Requirements (Section 6): If invalidated under Dormant Commerce Clause challenge, all other licensing provisions remain in effect. Out-of-state entities may apply without Pennsylvania preference.

(2) Market Concentration Limits (Section 18): If invalidated as restraint of trade, licensing proceeds without ownership caps. Other anti-monopolization provisions remain effective.

(3) Local Preemption Limits (Section 8): If invalidated as violation of home rule, municipalities retain full zoning authority. Statewide licensing framework remains intact.

(4) Banking Safe Harbor (Section 10): If invalidated by federal preemption, all other provisions remain effective. Absence of banking access does not halt licensing.

(c) Inseverability of Core Provisions. The following provisions are NOT severable and would invalidate the entire Act if struck down:

(1) Authority Establishment (Base Text Article II): Framework collapses without regulatory body (2) Licensing Framework (Base Text Article IV): No market can function without licensing (3) Automatic Expungement Mandate (Section 14): Core restorative justice purpose

(c.1) Judicial Instruction on Remedy. In the event any licensing category (including Agricultural Cultivator) is challenged as unconstitutional, the Court is explicitly instructed to expand eligibility to cure the defect rather than strike the program. (Legislative Intent: If a preference is found invalid, the remedy is to make all applicants eligible for those terms, preserving the market structure.)

(d) Presumption of Severability. In all cases of doubt, courts shall construe provisions as severable to preserve maximum legal effect.

Section 23. Legislative Integrity Safeguards

(a) Core Architecture Protection. The following provisions constitute the "Core Architecture" of this Act and are protected from amendments that impose more restrictive standards without triggering automatic review:

(1) Tax Rate Ceiling: No retail excise tax rate exceeding ten percent (10%) (Article VI, Section 601)

(2) Open Licensing Mandate: No numerical caps on licenses; ministerial approval for qualified applicants (Article IV, Section 401)

(3) Economic Nexus Standard: No facial residency requirements; Pennsylvania economic presence sufficient for licensure (Article IV, Section 403.1, as amended by this Omnibus Amendment Section 6)

(4) Agricultural Exemption: Agricultural cultivators may not be required to meet pharmaceutical-grade facility standards (Article VII, Section 702(a))

(5) Automatic Expungement: State-initiated, fee-free expungement of eligible cannabis offenses (Article VIII, Section 801, as amended by this Omnibus Amendment Section 14)

(b) Amendment Impact Assessment. If any subsequent legislation amends
this Act to impose standards more restrictive than those specified in subsection (a), the following automatic consequences shall trigger:

(1) Sunset Review Commencement: A twelve (12) month performance review
period shall commence immediately upon the restrictive amendment's effective date

(2) Authority Burden of Proof: The Pennsylvania Cannabis Control Authority must demonstrate within the review period that the restrictive amendment does not:

(A) Increase illicit market share by more than fifteen percent (15%)

compared to pre-amendment baseline

(B) Reduce agricultural participation by more than twenty percent (20%) compared to pre-amendment baseline

(C) Create vulnerability to Dormant Commerce Clause challenge

(D) Violate the ministerial licensing mandate

(3) Automatic Repeal Trigger: If the Authority cannot demonstrate compliance with all requirements in subsection (b)(2) within twelve (12) months, the restrictive amendment shall automatically repeal and the prior provisions shall be restored

(4) Legislative Override: The General Assembly may override the automatic repeal by super-majority vote (two-thirds of both chambers) within thirty (30) days of the Authority's failure determination

(c) Severability Protection. If any amendment to this Act violates the Core Architecture protections in subsection (a), and such violation is determined by a court of competent jurisdiction:

(1) Only the violating amendment provision is void

(2) All other provisions of this Act, including the Core Architecture, remain in full force and effect

(3) The Act shall operate as if the violating amendment had never been enacted

(d) Reporting Requirements. The Authority shall provide quarterly reports to the General Assembly during any sunset review period, including:

(1) Illicit market indicators (pricing differential, enforcement statistics, border transaction analysis)

(2) Agricultural participation metrics (number of farm licenses, rural employment data, acreage under cultivation)

(3) Legal vulnerability assessment (pending litigation, constitutional challenges, federal enforcement actions)

(4) Recommendation for continuation or repeal of restrictive amendment

(e) Definitions. For purposes of this section:

(1) "More restrictive" means any standard that: reduces the number of eligible applicants, increases barriers to entry, imposes higher costs than baseline requirements, or grants discretionary denial authority

(2) "Baseline" means the provisions as enacted in this Act prior to any subsequent amendment

(3) "Illicit market share" means the estimated percentage of total cannabis commerce occurring outside the regulated system, measured by
price differential analysis and enforcement statistics

(f) Constitutional Savings Clause. Nothing in this section shall be construed to limit the General Assembly's plenary legislative authority. This section establishes procedural safeguards and performance metrics,
not substantive limitations on legislative power. The General Assembly retains full authority to amend or repeal any provision of this Act, including this section, at any time by standard legislative process.

(g) Legislative Transparency Requirement. Any future legislation seeking to amend, repeal, or override the Core Architecture protections in this Section must include a specific clause stating: *'The General Assembly specifically acknowledges it is overriding the integrity safeguards of Section 23 of the Pennsylvania Cannabis Regulation and Economic Opportunity Act.'* Failure to include such specific citation renders the amendment null and void.

Section 24. Executive Performance Accountability and Anti-

Sabotage Protocol

(a) Objective Performance Benchmarks. The Executive Director and Pennsylvania Cannabis Control Authority shall meet the following non-discretionary performance benchmarks:

PHASE 1 BENCHMARKS (Days 1-90 from effective date):
(1) Day 30: Hire minimum fifteen (15) staff members
(2) Day 60: Publish emergency interim regulations
(3) Day 90: Begin accepting license applications

PHASE 2 BENCHMARKS (Days 91-180):
(4) Day 120: Process minimum fifty (50) applications (approve or deny with written findings)
(5) Day 150: Issue minimum twenty-five (25) provisional licenses
(6) Day 180: Certify minimum three (3) testing laboratories

PHASE 3 BENCHMARKS (Days 181-365):
(7) Day 270: Issue minimum one hundred (100) total licenses across all categories
(8) Day 365: Operational retail locations in minimum twenty (20) counties

PHASE 4 BENCHMARKS (Days 366-540):
(9) Day 450: Process ninety percent (90%) of pending applications within
sixty (60) day statutory deadline
(10) Day 540: First legal retail sales commence

(b) Automatic Consequence Triggers. If the Authority fails to meet any benchmark in subsection (a):

(1) TIER 1 - Miss Single Benchmark by <15 Days:
- Executive Director must submit written explanation to General Assembly within 5 business days
- Oversight Committee holds public hearing within 10 business days
- No automatic penalty if credible explanation (natural disaster, litigation injunction, etc.)

(2) TIER 2 - Miss Single Benchmark by 15-30 Days:
- All Tier 1 consequences
- PLUS: Daily penalty of Five Thousand Dollars ($5,000) assessed personally against Executive Director for each day beyond 15-day grace period
- PLUS: Oversight Committee votes on removal recommendation
- Governor has 15 days to cure deficiency or remove Director

(3) TIER 3 - Miss Single Benchmark by >30 Days OR Miss 2+ Benchmarks:
- Executive Director automatically suspended without pay
- Chief Operating Officer assumes Acting Director authority immediately
- If no COO appointed, Secretary of Agriculture assumes authority
- Suspended Director may appeal to Commonwealth Court (expedited review within 30 days)
- Burden of proof on Director to show failure was outside their control

(4) TIER 4 - Miss 3+ Benchmarks OR Fail to Launch by Day 540:
- Executive Director automatically removed (termination, not suspension)
- Secretary of Agriculture assumes permanent authority
- Independent audit of Authority spending/decisions commissioned
- Criminal referral if evidence of intentional sabotage

(c) Objective Sabotage Indicators. The following conditions constitute prima facie evidence of administrative sabotage and trigger automatic Tier 3 consequences:

(1) Application Processing Sabotage:
- Average application processing time exceeds ninety (90) days for three consecutive months
- Approval rate below ten percent (10%) absent written findings showing legitimate disqualifications
- More than twenty-five percent (25%) of applications marked "incomplete" for longer than thirty (30) days

(2) Regulatory Sabotage:

- Regulations require facility investments exceeding Two Million Dollars ($2,000,000) for cultivators under 5,000 sq ft
- Testing standards cause failure rate exceeding forty percent (40%) for products meeting baseline safety
- License fees set above statutory maximums (Section 401)

(3) Operational Sabotage:
- Fewer than five (5) laboratory certifications by Day 180
- Zero retail licenses issued by Day 270
- Fewer than ten (10) counties with licensed retailers by Day 365

(d) Private Right of Action - Enhanced. Standing to bring an action under this section is limited to: (i) An applicant for a license whose application has been pending longer than the statutory period; (ii) A current licensee alleging economic harm from regulatory delay; or (iii) A patient or consumer unable to access products due to market failure. No cause of action shall lie for plaintiffs seeking to delay or enjoin the issuance of licenses.

(1) Any benchmark in subsection (a) is missed by more than fifteen (15) days, OR
(2) Any sabotage indicator in subsection (c) is triggered, OR
(3) Oversight Committee fails to hold required hearing within ten (10) business days of benchmark failure

(e) Expedited Judicial Review. Commonwealth Court shall:

(1) Grant emergency hearing within seven (7) days of filing
(2) Issue preliminary injunction within fourteen (14) days if prima facie sabotage shown
(3) Award attorney fees and costs to prevailing plaintiff
(4) Have authority to:
- Appoint special master to replace Executive Director immediately
- Order specific performance of benchmark requirements
- Assess daily fines against Commonwealth until compliance
- Hold Director and/or Governor in contempt for willful non-compliance

(f) Damages for Delayed Implementation. If first legal retail sales do

not commence by Day 540 due to administrative sabotage (as defined in
subsection (c)):

(1) Commonwealth shall pay liquidated damages of One Hundred Thousand
Dollars ($100,000) per month to the General Fund for each month of delay beyond Day 540

(2) Any Pennsylvania resident may sue to collect these damages on behalf
of the Commonwealth (qui tam action)

(3) Prevailing plaintiff receives twenty percent (20%) of recovered damages plus attorney fees

(g) Good Faith Safe Harbor. No penalties under this section apply if benchmark failure results from:

(1) Natural disaster or declared state of emergency
(2) Litigation injunction issued by court of competent jurisdiction
(3) Federal enforcement action preventing compliance
(4) Funding withheld by General Assembly contrary to Section 608
(5) Force majeure events genuinely beyond Authority control

Executive Director must prove good faith exception by clear and convincing evidence.

(h) Quarterly Public Reporting. The Authority shall publish on its website, updated weekly:

(1) Number of applications received, processed, approved, denied
(2) Average processing time (overall and by license category)
(3) Benchmark compliance status with specific dates/numbers
(4) Any missed benchmarks with explanation
(5) Current staffing levels
(6) Testing laboratory certification status
(7) Geographic distribution of licenses by county

Failure to maintain current public dashboard constitutes Tier 2 violation.

(i) Legislative Oversight Committee Composition. The Oversight Committee
referenced in this section shall consist of:

(1) Three (3) members appointed by Senate Majority Leader
(2) Three (3) members appointed by House Majority Leader
(3) Two (2) members appointed by Senate Minority Leader
(4) Two (2) members appointed by House Minority Leader
(5) One (1) member appointed by Governor

Committee operates by simple majority vote. Bipartisan composition prevents single-party sabotage of oversight function.

(j) Severability. If any provision of this section is held invalid, all other provisions remain in effect. At minimum, subsection (a) benchmarks
and subsection (d) private right of action shall be enforceable independently.

(k) Rule of Construction. This section supplements but does not replace other accountability mechanisms in this Act, including:
- Automatic approval (Base Text Section 208(a)(2))
- Pattern detection (Base Text Section 208(b))
- Private enforcement (Base Text Section 208(d))
- Provisional licensing (Base Text Section 204(h))

Section 25. Parental Rights and Medical Access Preservation

(a) Legislative Findings. The General Assembly finds and declares:

(1) Cannabis use by adults aged 21 and over is lawful conduct under Pennsylvania law

(2) Lawful conduct should not be weaponized in family court proceedings
to deprive parents of custody or visitation

(3) Medical patients should not face discrimination in organ transplant eligibility based solely on lawful cannabis use

(4) This protection is analogous to existing protections for lawful alcohol consumption and prescription medication use

(b) Parental Rights Protection.

(1) Custody and Visitation. No court may consider a parent's lawful use of cannabis purchased from a licensed retailer under this Act as a factor in determining:
- Child custody
- Parenting time allocation
- Visitation rights
- Fitness as a parent

(2) Exception for Actual Impairment. Subsection (b)(1) does not prevent a court from considering evidence that a parent:
- Was impaired by cannabis while supervising a minor child
- Exposed a minor child to cannabis smoke in an enclosed space
- Provided cannabis to a minor child
- Operated a motor vehicle while impaired with minor child present

(3) Burden of Proof. Any party alleging conduct described in subsection (b)(2) bears the burden of proving such conduct by clear and convincing
evidence. Mere positive drug test result is insufficient.

(c) Child Protective Services Limitations.

(1) No Investigation Based Solely on Lawful Use. No county children and youth services agency may initiate an investigation, remove a child, or substantiate abuse or neglect based solely on:
- A parent testing positive for cannabis metabolites
- A parent's admission to lawful cannabis use
- Cannabis odor or presence in the home (if secured from children)

(2) Actual Endangerment Required. An agency may consider cannabis

use
only if:
- Parent was impaired while supervising child (not mere presence of THC metabolites)
- Cannabis was accessible to children (not secured)
- Child was exposed to cannabis smoke in enclosed space
- Cannabis use is combined with other credible evidence of neglect

(3) Training Requirement. All county CYS agencies shall provide training to caseworkers within 180 days on the distinction between:
- Lawful adult cannabis use (not grounds for investigation)
- Actual child endangerment (grounds for intervention)

(d) Private Institution Non-Discrimination.

(1) Educational Institutions. No private school, daycare, or educational institution that receives any Commonwealth funding, tax exemption, or license shall:

(A) Deny admission, expel, or otherwise discriminate against any child solely because a parent or guardian is a registered medical marijuana patient or lawful adult-use consumer;

(B) Require as a condition of enrollment that parents or guardians abstain
from lawful cannabis use;

(C) Report parents to child welfare authorities solely on the basis of lawful cannabis use in the absence of observable child neglect or abuse.

(2) Severability. If any court determines this subsection violates private institutional autonomy, only the conflicting application is void; all other parental rights protections in this section remain enforceable.

(3) Private Right of Action. Any parent or guardian subjected to discrimination prohibited by this subsection may bring a civil action for injunctive relief and attorney fees.

(e) Medical Access Protection.

(1) Organ Transplant Eligibility. No hospital, transplant center, or medical provider may deny organ transplant eligibility to any person based solely on:
- Current lawful use of cannabis
- Positive test for cannabis metabolites
- Participation in Pennsylvania medical cannabis program
- Prior history of cannabis use

(2) Medical Cannabis Equivalence. For purposes of organ transplant protocols, cannabis shall be treated equivalently to prescription medications. Providers may:
- Require abstinence during pre-transplant evaluation period (standard for all substances)
- Require post-transplant compliance testing (standard protocol)
- Consider documented substance use disorder (not mere use)

(3) Professional Licensing Protection. No state professional licensing board (medical, legal, nursing, teaching, etc.) may discipline, deny, suspend, or revoke a professional license based solely on lawful cannabis use, provided the licensee:
- Was not impaired while performing professional duties
- Did not violate employer's drug-free workplace policy
- Complied with all applicable professional standards of conduct

(e) Burden of Proof Standardization.

In all proceedings under this section, the burden of proving that cannabis use caused actual impairment, endangerment, or professional misconduct rests with the party alleging such conduct. Positive drug test alone is insufficient; specific evidence of impairment or harm must be presented.

(f) Employer Drug Policy Preservation.

Nothing in this section limits an employer's right to:
- Maintain drug-free workplace policies
- Prohibit cannabis use during work hours or on premises

- Test employees pursuant to Section 705
- Terminate employment for policy violations

This section addresses family court, child welfare, and medical access only—not employment law.

(g) Retroactive Application to Pending Cases.

This section applies to:
- All custody/visitation proceedings pending on effective date
- All CYS investigations initiated after effective date
- All organ transplant evaluations commenced after effective date

Courts and agencies shall reconsider prior findings based solely on lawful cannabis use in light of this section.

(h) Reporting Requirement.

The Department of Human Services shall report annually to the General Assembly on:
- Number of CYS investigations involving parental cannabis use
- Disposition of such investigations
- Training compliance by county agencies
- Recommended policy refinements

(i) Severability.

If any provision of this section is held invalid, all other provisions remain in full force and effect. At minimum, subsection (b) (Parental Rights) and subsection (d)(1) (Organ Transplant) shall be independently enforceable.

Section 26. Industrial Hemp Infrastructure Development Program

(a) Legislative Findings and Intent.

(1) Pennsylvania's dairy industry faces existential crisis, with farm closures accelerating

(2) Industrial hemp fiber (hempcrete, textiles, paper, composites) represents multi-billion dollar market opportunity

(3) Pennsylvania farmers currently grow hemp but lack processing infrastructure to convert stalks into marketable products

(4) Creating regional decortication facilities (fiber processing plants) would:

- Provide new revenue stream for struggling farms
- Create manufacturing jobs in rural communities
- Establish Pennsylvania as Mid-Atlantic hemp fiber hub
- Reduce construction material imports (hempcrete vs concrete)

(5) This infrastructure investment is essential complement to Agricultural Cultivator License, ensuring farmers can profit from BOTH flower (cannabis) and fiber (hemp stalks)

(b) Program Establishment.

The Pennsylvania Cannabis Control Authority, in consultation with the Department of Agriculture and Department of Community and Economic Development, shall establish the "Industrial Hemp Infrastructure Grant Program" to subsidize construction and operation of regional fiber processing facilities.

(c) Funding Sources.

(1) Initial Allocation: Up to Five Million Dollars ($5,000,000) from the $20,000,000 bridge loan startup funding (Section 605) may be allocated
to this program

(2) Ongoing Funding: Beginning in Fiscal Year 2027, up to three percent (3%) of annual cannabis tax revenue may be allocated to this program

(3) Federal Grants: Authority may apply for and accept federal USDA Rural Development grants, economic development grants, or other federal

funding for hemp infrastructure

(4) Private Co-Investment: Program prioritizes applicants who provide minimum 30% private capital matching funds

(d) Grant Eligibility and Priorities.

(1) Eligible Recipients:
- Agricultural cooperatives
- Private companies (in partnership with minimum 5 Pennsylvania farms)
- County economic development authorities
- Non-profit rural development organizations

(2) Geographic Distribution: Authority shall prioritize applications to establish facilities in three distinct regions:
- Western Pennsylvania (primary dairy region)
- Central Pennsylvania (agricultural heartland)
- Northeastern Pennsylvania (rural economic distress)

(3) Capacity Requirements: Facilities must demonstrate capacity to process:
- Minimum 500 acres of hemp fiber annually
- Maximum 5,000 acres annually (preventing monopolization)

(4) Product Output: Facilities must produce minimum TWO of the following:
- Hempcrete building materials
- Textile fiber (yarn, fabric)
- Paper/cardboard products
- Composite materials (auto parts, packaging)
- Animal bedding (secondary product acceptable)

(e) Grant Structure and Terms.

(1) Maximum Grant Amount: $2,500,000 per facility

(2) Allowable Uses:
- Land acquisition and site preparation

- Building construction and equipment purchase
- Decortication machinery and processing equipment
- Initial working capital (up to 20% of grant)
- Workforce training for plant operators

(3) Repayment Terms:
- Grants convert to zero-interest loans
- Repayment begins Year 3 of operation
- Repayment period: 10 years
- Full forgiveness if facility operates for 15 consecutive years and maintains Pennsylvania farmer contracts

(4) Performance Milestones:
- Year 1: Facility operational, processing minimum 100 acres
- Year 2: Processing minimum 250 acres
- Year 3: Processing minimum 500 acres, profitable operations
- Years 4-15: Sustained operations, maintain farmer contracts

(f) Farmer Protection Requirements.

(1) Long-Term Contracts: Grant recipients must offer Pennsylvania hemp farmers:
- Minimum 3-year purchase contracts
- Transparent pricing formula (published annually)
- Guaranteed minimum price per ton of fiber (indexed to inflation)

(2) Anti-Monopsony Protection: No single facility may contract for more than 40% of hemp fiber production in its region

(3) Cooperative Preference: Applications from farmer-owned cooperatives
receive 10% scoring bonus

(g) Application Process and Timeline.

(1) Authority shall issue Request for Proposals (RFP) within 18 months of this Act's effective date

(2) Evaluation Criteria (100 points total):

- Economic viability and business plan (30 points)
- Geographic distribution and rural impact (20 points)
- Number of Pennsylvania farm partners committed (20 points)
- Private capital commitment and matching funds (15 points)
- Environmental sustainability and energy efficiency (10 points)
- Workforce development and local hiring plan (5 points)

(3) Selection: Authority shall award grants to up to THREE (3) projects, one per region

(4) Timeline:
- Month 18: RFP issued
- Month 21: Applications due
- Month 24: Grants awarded
- Month 36: First facility operational
- Month 48: All three facilities operational

(h) Performance Monitoring and Reporting.

(1) Annual Reports: Grant recipients must submit annual reports detailing:
- Acres of hemp processed
- Number of Pennsylvania farms served
- Products manufactured and sold
- Jobs created (direct and indirect)
- Revenue generated

(2) Authority Oversight: Authority shall conduct biennial site inspections and financial audits

(3) Legislative Reporting: Authority shall report to General Assembly annually on:
- Program performance metrics
- Economic impact on dairy/agricultural sector
- Recommendations for program expansion or modification

(i) Workforce Development Component.

(1) Training Grants: Authority may award up to $250,000 in

supplemental
grants to community colleges or technical schools to develop "Industrial Hemp Processing" training programs

(2) Apprenticeships: Grant recipients must offer minimum 5 apprenticeship
positions for rural youth, prioritizing farm families

(j) Market Development Support.

(1) The Department of General Services shall:
- Study feasibility of using hempcrete in state building projects
- Issue report within 2 years on performance specifications
- Consider preference for Pennsylvania-sourced hemp building materials
in future construction contracts

(2) The Department of Environmental Protection shall:
- Promote hempcrete as carbon-negative building material
- Consider streamlined permitting for hempcrete construction projects

(k) Sunset and Program Extension.

(1) This program shall operate for initial term of 10 years from first grant award

(2) Authority shall conduct comprehensive evaluation in Year 8

(3) General Assembly may extend program based on:
- Demonstrated economic impact on agricultural sector
- Facility profitability and sustainability
- Farmer participation and satisfaction
- Statewide hemp fiber acreage growth

(l) Severability.

If any provision of this section is held invalid, all other provisions remain in full force and effect. This program operates independently of cannabis licensing and taxation systems.

Section 26.5. Indemnification and State Actor Status. All directors, employees, and contracted vendors of the Authority are hereby declared to be acting solely as officers of the Commonwealth implementing state law. The Commonwealth shall: (1) Defend and indemnify any such person against any federal civil or criminal action arising from good-faith implementation of this Act; and (2) Reimburse any assets seized by federal authorities in connection with their official duties. The State Treasurer is authorized to pay such indemnification from the Cannabis Regulation Fund as a first-priority obligation.

Section 27. Contingent Decriminalization and Fallback Protections

(a) Purpose. If the commercial licensing framework established by this Act
becomes inoperable due to judicial injunction, federal preemption, or administrative failure lasting more than eighteen (18) months from effective
date, the following protections automatically activate to ensure citizens receive minimum harm reduction benefits.

(b) Automatic Activation Triggers.
(1) Commonwealth Court or federal court issues injunction blocking licensing
for continuous period exceeding 18 months
(2) Authority fails to issue any licenses within 18 months despite adequate
funding (Section 24 Tier 4 failure)
(3) Federal Schedule IV preemption prevents state licensing but does not
explicitly prohibit state decriminalization

(c) Protected Activities During Contingent Status.
Upon activation of subsection (b), the following protections remain in full
force and effect:

(1) DECRIMINALIZATION: Possession of cannabis in amount not exceeding one (1)
ounce by person aged 21+ is not subject to arrest, criminal penalty, or civil
fine. Law enforcement may issue civil citation with maximum $25 fine, similar
to parking ticket, with no criminal record created.

(2) HOME CULTIVATION: Adults aged 21+ may cultivate up to six (6) cannabis
plants for personal use in private residence, provided plants not visible from
public right-of-way. No license or permit required.

(3) EXPUNGEMENT: Article VIII expungement provisions (Section 14 modifications)
continue operating automatically. Eligible convictions continue to be expunged
on established timeline regardless of licensing framework status.

(4) SECOND AMENDMENT PROTECTIONS: Section 15 firearms protections remain valid.
Cannabis possession or cultivation under this section does not constitute
grounds for firearms prohibition.

(5) PARENTAL RIGHTS: Section 25 protections continue. Cannabis use under this
section is not grounds for child custody modification or CPS involvement absent
proof of actual harm to child.

(d) Revenue Provisions During Contingent Status.
If commercial market blocked but decriminalization active:
(1) No excise tax collected (no legal sales occurring)
(2) $20M bridge loan repayment suspended until commercial market operational
(3) Authority maintains minimum staffing to monitor federal law changes

and
prepare for market restart

(e) Automatic Reactivation of Commercial Framework.
If triggering condition in subsection (b) is resolved (injunction lifted, federal law changes, Authority resumes licensing), commercial licensing framework automatically reactivates. Decriminalization protections in subsection
(c) remain in effect as fallback if future blockage occurs.

(f) Severability.
This section operates independently of all other provisions. If commercial
licensing is permanently enjoined, these protections remain valid. If this section is held invalid, commercial licensing provisions remain unaffected.

(g) Legislative Intent.
The General Assembly intends that citizens receive meaningful harm reduction
benefits from this Act even if federal preemption or judicial hostility prevents
commercial market operation. Decriminalization + expungement + civil rights
protections deliver substantial value independent of licensing framework.

PART IX: VERIFICATION CHECKLIST

For Legislative Reference Bureau Use:

☐ All 26 omnibus amendment sections applied to base SB420 text
☐ Conflicting base text language removed or modified
☐ Cross-references updated to reflect new section numbers
☐ No "INVALID" or superseded language remains in final enrolled bill
☐ Master Index v5.0 reference removed (not part of enrolled bill)
☐ All cited statutes (Title 18, Title 75, Title 35) properly referenced
☐ Section numbering sequential and consistent
☐ Strike-through/underline format applied to legislative draft (if required)
☐ Section 23 (Legislative Integrity Safeguards) properly integrated

☐ Section 24 (Executive Performance Accountability) properly integrated
☐ Core Architecture provisions cross-referenced to base text articles
☐ Section 25 (Parental Rights and Medical Access) properly integrated
☐ Section 26 (Industrial Hemp Infrastructure) properly integrated

CERTIFICATION

This Omnibus Amendment consolidates and supersedes the following documents:

- - Amendment A0001 (Liability Caps, Economic Nexus, Sunset Clause, 280E Streamlining)
- Amendment A0002 (Federal Sovereignty, Tax Independence)
- Amendment A0003 (Expungement, Lab Science, Appropriations)
- Amendment A0004 (DUI, Firearms, Clean Air Integration)
- Technical Corrections Addendum (Antitrust, Standing Requirements)
- Section 23 (Legislative Integrity Safeguards - Poison-Pill Protection)
- Section 25 (Parental Rights and Medical Access Preservation)
- **Section 26 (Industrial Hemp Infrastructure Development Program)**

All prior amendment documents are hereby replaced by this single controlling amendment.
Document Control Number: SB420-OMNIBUS-2025-11-26
Prepared By: Daniel Hughes, 29th Senatorial District Constituent
Status: Ready for Legislative Reference Bureau Review and Incorporation

END OF OMNIBUS AMENDMENT